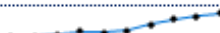


Historical Financial Statement- TATA STEEL LTD											
Years	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26	LTM
Income Statement											
Sales	₹ 1,12,299.4	123249.07	157668.99	139816.65	156477.4	243959.17	243352.69	229170.78	218542.51	232139.94	239756.11
Sale Growth	-	9.75%	27.93%	-11.32%	11.92%	55.91%	-0.25%	-5.83%	-4.64%	6.22%	3.28%
COGS	₹ 77,577.1	₹ 84,710.1	₹ 1,05,590.1	₹ 1,02,560.9	₹ 1,02,979.7	₹ 1,43,605.2	₹ 1,78,329.4	₹ 1,83,154.8	₹ 1,71,715.0	₹ 1,71,435.8	₹ 2,03,566.9
COGS % Sales	69.08%	68.73%	66.97%	73.35%	65.81%	58.86%	73.28%	79.92%	78.57%	73.85%	84.91%
Gross Profit	₹ 34,722.3	₹ 38,539.0	₹ 52,078.9	₹ 37,255.7	₹ 53,497.7	₹ 1,00,354.0	₹ 65,023.3	₹ 46,015.9	₹ 46,827.5	₹ 60,704.2	₹ 36,189.2
Gross Margin	30.92%	31.27%	33.03%	26.65%	34.19%	41.14%	26.72%	20.08%	21.43%	26.15%	15.09%
Selling and General Expenses	₹ 21,578.7	₹ 17,105.8	₹ 22,760.7	₹ 19,792.7	₹ 22,993.4	₹ 36,864.0	₹ 32,723.2	₹ 23,768.0	₹ 21,529.1	₹ 26,351.7	-
S&G Exp % Sales	19.22%	13.88%	14.44%	14.16%	14.69%	15.11%	13.45%	10.37%	9.85%	11.35%	0
EBITDA	₹ 13,143.6	₹ 21,433.2	₹ 29,318.2	₹ 17,463.1	₹ 30,504.3	₹ 63,490.0	₹ 32,300.2	₹ 22,247.9	₹ 25,298.5	₹ 34,352.4	₹ 36,189.2
EBITDA Margin	11.70%	17.39%	18.59%	12.49%	19.49%	26.02%	13.27%	9.71%	11.58%	14.80%	15.09%
Interest	₹ 5,072.20	₹ 5,454.74	₹ 7,660.10	₹ 7,533.46	₹ 7,606.71	₹ 5,462.20	₹ 6,298.70	₹ 7,507.57	₹ 7,340.95	₹ 7,167.06	₹ 7,085.14
Interest % Sales	4.52%	4.43%	4.86%	5.39%	4.86%	2.24%	2.59%	3.28%	3.36%	3.09%	2.96%
Deprication	₹ 5,672.88	₹ 5,741.70	₹ 7,341.83	₹ 8,440.73	₹ 9,233.64	₹ 9,100.87	₹ 9,335.20	₹ 9,882.16	₹ 10,421.33	₹ 11,954.51	₹ 12,849.86
Deprication % Sales	5.05%	4.66%	4.66%	6.04%	5.90%	3.73%	3.84%	4.31%	4.77%	5.15%	5.36%
EBT/ Profit	₹ 2,398.6	₹ 10,236.8	₹ 14,316.3	₹ 1,488.9	₹ 13,663.9	₹ 48,926.9	₹ 16,666.3	₹ 4,858.2	₹ 7,536.2	₹ 15,230.9	₹ 16,254.2
EBT % Sales	2.14%	8.31%	9.08%	1.06%	8.73%	20.06%	6.85%	2.12%	3.45%	6.56%	6.78%
Tax	₹ 2,778.0	₹ 3,392.3	₹ 6,718.4	₹ (2,568.4)	₹ 5,653.9	₹ 8,477.6	₹ 10,159.8	₹ 3,762.6	₹ 5,239.1	₹ 5,082.9	₹ 5,475.4
Effective Tax Rate	115.82%	33.14%	46.93%	-172.51%	41.38%	17.33%	60.96%	0.77	69.52%	33.37%	33.69%
Net Profit	₹ (379.5)	₹ 6,844.4	₹ 7,597.9	₹ 4,057.3	₹ 8,010.0	₹ 40,449.3	₹ 6,506.5	₹ 1,095.6	₹ 2,297.1	₹ 10,148.0	₹ 10,778.8
Net margin	-0.34%	5.55%	4.82%	2.90%	5.12%	16.58%	2.67%	0.48%	1.05%	4.37%	4.50%
No. of Equity Shares	1126.62	1126.48	1126.49	1126.49	1196.59	1221.3	1222.15	1248.35	1248.35	1248.35	0
Earning Per Share	₹ (0.34)	₹ 6.08	₹ 6.74	₹ 3.60	₹ 6.69	₹ 33.12	₹ 5.32	₹ 0.88	₹ 1.84	₹ 8.13	-
Earning Growth %		1703.95%	11.01%	-46.60%	85.86%	394.77%	-83.93%	-0.84	109.66%	341.78%	
Dividend Per Share	₹ 0.86	₹ 1.02	₹ 1.32	₹ 1.02	₹ 2.50	₹ 5.10	₹ 3.60	₹ 3.60	₹ 3.60	₹ 4.00	-
Dividend Payout Ratio	255.69%	16.73%	19.59%	28.22%	37.38%	15.40%	67.57%	4.10	195.50%	49.17%	0.00%
Reatined Earning	0.00%	83.27%	80.41%	71.78%	62.62%	84.60%	32.43%	0.00%	0.00%	50.83%	0.00%

Balance Sheet										
Equity Share Capital	₹ 970.2	₹ 1,145.0	₹ 1,144.9	₹ 1,145.0	₹ 1,197.6	₹ 1,221.2	₹ 1,221.2	₹ 1,247.4	₹ 1,247.4	₹ 1,247.4
Reserves	₹ 36,849.1	₹ 59,725.7	₹ 67,780.1	₹ 72,431.4	₹ 73,041.2	₹ 1,13,221.8	₹ 1,01,860.9	₹ 90,788.3	₹ 89,922.2	₹ 1,00,920.2
Borrowings	₹ 83,014.5	₹ 92,147.1	₹ 1,00,816.2	₹ 1,16,328.2	₹ 88,501.4	₹ 75,561.4	₹ 84,893.1	₹ 87,082.1	₹ 94,801.1	₹ 92,381.7
Other Liabilities	₹ 51,613.6	₹ 55,704.5	₹ 63,032.1	₹ 59,244.6	₹ 81,169.0	₹ 92,417.3	₹ 97,420.6	₹ 90,194.5	₹ 89,487.9	₹ 1,01,965.3
Total Liabilities	₹ 1,72,447.4	₹ 2,08,722.1	₹ 2,32,773.4	₹ 2,49,149.1	₹ 2,43,909.2	₹ 2,82,421.7	₹ 2,85,395.8	₹ 2,69,312.4	₹ 2,75,458.6	₹ 2,96,514.6
Net Block	₹ 92,006.6	₹ 96,104.9	₹ 1,24,441.9	₹ 1,34,550.7	₹ 1,35,775.2	₹ 1,33,287.8	₹ 1,46,621.5	₹ 1,48,814.4	₹ 1,50,914.1	₹ 1,79,908.1
Capital Work in Progress	₹ 15,784.1	₹ 16,614.4	₹ 18,641.2	₹ 19,496.8	₹ 19,007.4	₹ 22,045.6	₹ 31,213.0	₹ 34,355.5	₹ 41,622.4	₹ 28,496.7
Investments	₹ 12,457.1	₹ 17,899.5	₹ 5,738.2	₹ 6,285.2	₹ 10,681.9	₹ 13,139.9	₹ 8,410.3	₹ 6,257.6	₹ 6,194.1	₹ 7,088.9
Other Assets	₹ 10,887.9	₹ 29,419.0	₹ 37,143.7	₹ 41,808.1	₹ 29,846.3	₹ 36,978.7	₹ 23,121.2	₹ 15,786.2	₹ 15,231.1	₹ 18,797.3
Total Non-Current Assets	₹ 1,31,135.7	₹ 1,60,037.7	₹ 1,85,965.0	₹ 2,02,140.8	₹ 1,95,310.8	₹ 2,05,451.9	₹ 2,09,366.0	₹ 2,05,213.7	₹ 2,13,961.6	₹ 2,34,291.0
Receivables	₹ 11,586.8	₹ 12,415.5	₹ 11,811.0	₹ 7,884.9	₹ 9,539.8	₹ 12,246.4	₹ 8,257.2	₹ 6,263.5	₹ 5,260.1	₹ 4,916.9
Inventory	₹ 24,803.8	₹ 28,331.0	₹ 31,656.1	₹ 31,068.7	₹ 33,276.4	₹ 48,824.4	₹ 54,415.3	₹ 49,157.5	₹ 44,589.9	₹ 47,249.2
Cash & Bank	₹ 4,921.1	₹ 7,937.9	₹ 3,341.4	₹ 8,054.7	₹ 5,782.2	₹ 15,898.9	₹ 13,357.3	₹ 8,677.7	₹ 11,647.0	₹ 10,057.5
Total Current Assets	₹ 41,311.7	₹ 48,684.4	₹ 46,808.5	₹ 47,008.4	₹ 48,598.4	₹ 76,969.8	₹ 76,029.8	₹ 64,098.8	₹ 61,497.0	₹ 62,223.6
Total Assets	₹ 1,72,447.4	₹ 2,08,722.1	₹ 2,32,773.4	₹ 2,49,149.1	₹ 2,43,909.2	₹ 2,82,421.7	₹ 2,85,395.8	₹ 2,69,312.4	₹ 2,75,458.6	₹ 2,96,514.6

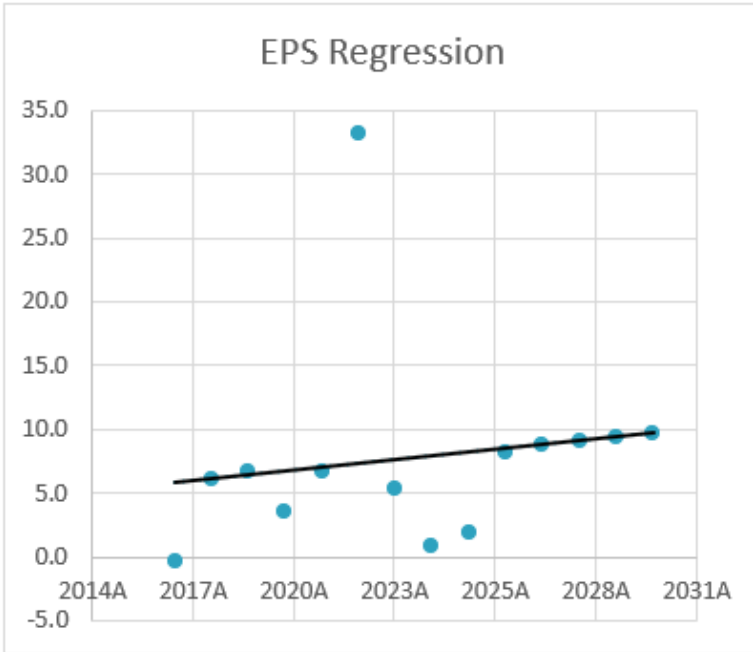
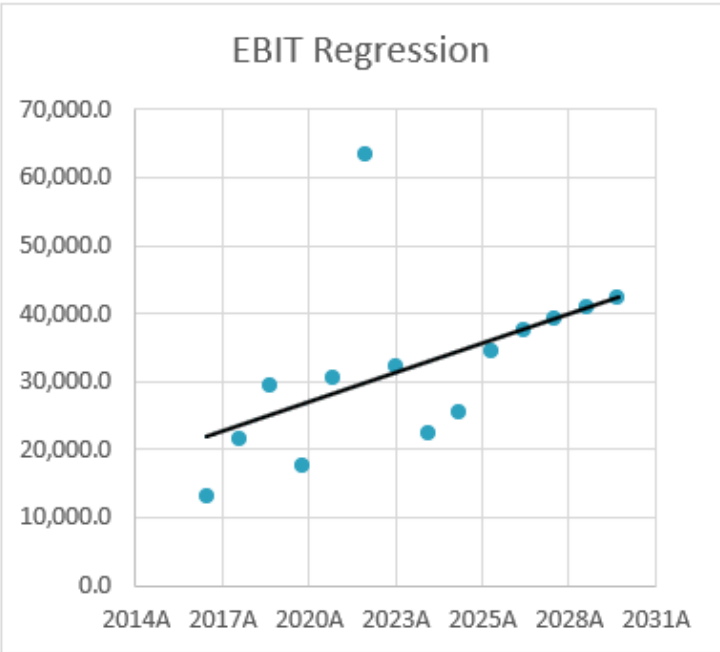
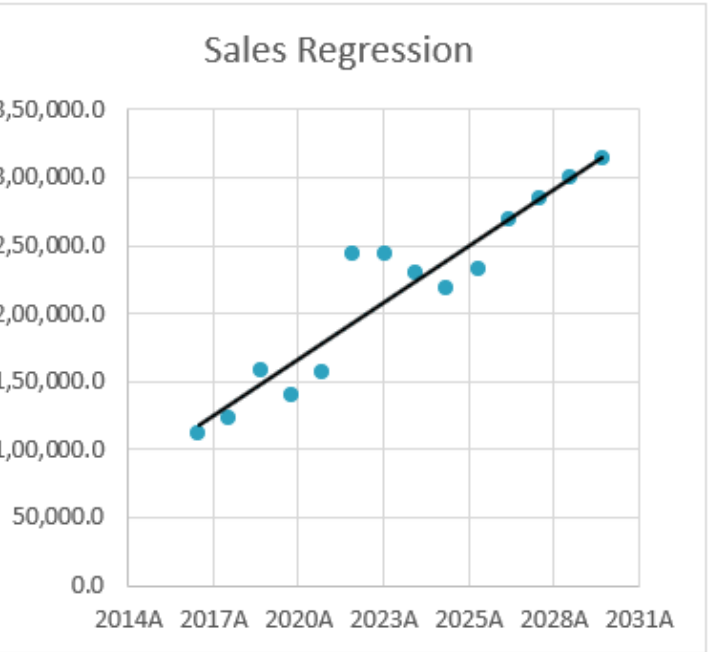
Cash Flow Statement										
Operating Activities										
Profit from operations	₹ 17,581.0	₹ 20,187.0	₹ 27,840.0	₹ 18,078.0	₹ 28,540.0	₹ 65,900.0	₹ 30,908.0	₹ 22,237.0	₹ 23,929.0	₹ 34,219.0
Receivables	-	-	-	-	-	-	-	-	-	-
Inventory	₹ (8,243.0)	₹ (1,595.0)	₹ (1,069.0)	₹ 1,562.0	₹ 46.0	₹ (16,917.0)	₹ (4,031.0)	₹ 5,566.0	₹ 4,776.0	₹ 1,290.0
Payables	-	-	-	-	-	-	-	-	-	-
Other WC items	₹ 3,329.0	₹ (7,680.0)	₹ 3,659.0	₹ 2,634.0	₹ 16,446.0	₹ 7,299.0	₹ 325.0	₹ (2,182.0)	₹ (2,569.0)	₹ 4,152.0
Working capital changes	₹ (4,914.0)	₹ (9,276.0)	₹ 2,591.0	₹ 4,196.0	₹ 16,491.0	₹ (9,618.0)	₹ (3,706.0)	₹ 3,384.0	₹ 2,207.0	₹ 5,442.0
Direct taxes	₹ (1,843.0)	₹ (2,888.0)	₹ (5,094.0)	₹ (2,106.0)	₹ (704.0)	₹ (11,902.0)	₹ (5,519.0)	₹ (5,320.0)	₹ (2,998.0)	₹ (4,597.0)
Cash From Operating Activites	₹ 5,910.0	₹ (1,252.0)	₹ 27,927.0	₹ 24,364.0	₹ 60,819.0	₹ 34,762.0	₹ 17,977.0	₹ 23,685.0	₹ 25,345.0	₹ 40,506.0
Investing Activites										
Fixed assets purchased	₹ (7,716.0)	₹ (7,478.0)	₹ (9,091.0)	₹ (10,398.0)	₹ (6,979.0)	₹ (10,522.0)	₹ (14,142.0)	₹ (18,207.0)	₹ (15,671.0)	₹ (14,559.0)
Fixed assets sold	₹ 289.0	₹ 179.0	₹ 467.0	₹ 386.0	₹ 445.0	₹ 569.0	₹ 328.0	₹ 475.0	₹ 1,264.0	₹ 1,401.0
Investments purchased	₹ (861.0)	₹ (8,641.0)	₹ (490.0)	₹ (828.0)	₹ (3,631.0)	₹ (1,153.0)	₹ (326.0)	₹ (4.0)	₹ (393.0)	₹ (553.0)
Investments sold	₹ 91.0	₹ 3,899.0	₹ 13,556.0	₹ 121.0	-	₹ 63.0	₹ 5,191.0	₹ 3,171.0	₹ 554.0	₹ 20.0
Interest received	₹ 140.0	₹ 254.0	₹ 175.0	₹ 203.0	₹ 266.0	₹ 137.0	₹ 248.0	₹ 333.0	₹ 616.0	₹ 650.0
Dividends received	₹ 85.0	₹ 111.0	₹ 148.0	₹ 103.0	₹ 135.0	₹ 162.0	₹ 317.0	₹ 336.0	₹ 294.0	₹ 408.0
Redemp n Canc of Shares	-	₹ 34.0	₹ 156.0	₹ 378.0	₹ 90.0	₹ 1,208.0	₹ 166.0	₹ 123.0	₹ 28.0	₹ 611.0
Acquisition of companies	₹ (1,081.0)	₹ (255.0)	₹ (34,569.0)	₹ (4,433.0)	-	₹ (53.0)	₹ (10,569.0)	-	₹ (6.0)	₹ (2,846.0)
Inter corporate deposits	-	-	-	-	-	-	-	-	-	-
Other investing items	₹ (437.0)	₹ 166.0	₹ 471.0	₹ 456.0	₹ 236.0	₹ (1,315.0)	₹ 609.0	₹ (481.0)	₹ (298.0)	₹ 472.0
Cash From Investing Activites	₹ (9,490.0)	₹ (11,731.0)	₹ (29,177.0)	₹ (14,012.0)	₹ (9,438.0)	₹ (10,904.0)	₹ (18,178.0)	₹ (14,254.0)	₹ (13,612.0)	₹ (14,396.0)
Financing Activites										
Proceeds from shares	₹ 652.0	₹ 9,087.0	-	₹ 188.0	₹ 3,239.0	₹ 326.0	₹ 1.0	-	-	-
Proceeds from borrowings	-	-	₹ 33,344.0	₹ 16,574.0	₹ 9,801.0	₹ 12,439.0	₹ 16,769.0	₹ 14,120.0	₹ 23,893.0	₹ 15,954.0
Repayment of borrowings	-	-	₹ (25,077.0)	₹ (7,937.0)	₹ (39,177.0)	₹ (26,360.0)	₹ (10,226.0)	₹ (11,908.0)	₹ (17,627.0)	₹ (23,916.0)
Interest paid fin	₹ (4,733.0)	₹ (5,146.0)	₹ (6,901.0)	₹ (7,419.0)	₹ (6,804.0)	₹ (4,687.0)	₹ (6,120.0)	₹ (8,145.0)	₹ (8,119.0)	₹ (8,066.0)
Dividends paid	₹ (791.0)	₹ (982.0)	₹ (1,186.0)	₹ (1,507.0)	₹ (1,151.0)	₹ (3,020.0)	₹ (6,293.0)	₹ (4,429.0)	₹ (4,490.0)	₹ (4,490.0)
Financial liabilities	₹ (208.0)	₹ (211.0)	₹ (276.0)	₹ (1,029.0)	₹ (1,284.0)	₹ (1,310.0)	₹ (1,114.0)	₹ (1,140.0)	₹ (971.0)	₹ (1,162.0)
Other financing items	₹ 2,501.0	₹ 3,892.0	₹ (576.0)	₹ (564.0)	₹ (1,714.0)	₹ (789.0)	₹ 2.0	₹ 404.0	₹ 312.0	₹ 293.0
Cash From Financing Activites	₹ (2,579.0)	₹ 6,640.0	₹ (672.0)	₹ (1,694.0)	₹ (37,090.0)	₹ (23,401.0)	₹ (6,981.0)	₹ (11,098.0)	₹ (7,002.0)	₹ (21,387.0)

#	Years	Ratio Analysis of - TATA STEEL LTD									Trend	Mean	Median	
		Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25				Mar-26
	Sales Growth		9.75%	27.93%	-11.32%	11.92%	55.91%	-0.25%	-5.83%	-4.64%	6.22%		9.97%	6.22%
	EBITDA Growth		63.07%	36.79%	-40.44%	74.68%	108.13%	-49.13%	-31.12%	13.71%	35.79%		23.50%	35.79%
	EBIT Growth		326.79%	39.85%	-89.60%	817.74%	258.07%	-65.94%	-70.85%	55.12%	102.10%		152.59%	55.12%
	Net Profit Growth		1703.73%	11.01%	-46.60%	97.42%	404.98%	-83.91%	-83.16%	109.66%	341.78%		272.77%	97.42%
	Dividend Growth		18.02%	30.00%	-23.08%	146.18%	103.81%	-29.46%	0.00%	0.00%	11.11%		28.51%	11.11%
	Gross Margin	30.92%	31.27%	33.03%	26.65%	34.19%	41.14%	26.72%	20.08%	21.43%	26.15%		29.16%	28.82%
	EBITDA Margin	11.70%	17.39%	18.59%	12.49%	19.49%	26.02%	13.27%	9.71%	11.58%	14.80%		15.51%	14.04%
	EBIT Margin	6.65%	12.73%	13.94%	6.45%	13.59%	22.29%	9.44%	5.40%	6.81%	9.65%		10.70%	9.54%
	EBT Margin	2.14%	8.31%	9.08%	1.06%	8.73%	20.06%	6.85%	2.12%	3.45%	6.56%		6.84%	6.70%
	Net Profit Margin	-0.34%	5.55%	4.82%	2.90%	5.12%	16.58%	2.67%	0.48%	1.05%	4.37%		4.32%	3.64%
	SalesExpenses%Sale	19.22%	13.88%	14.44%	14.16%	14.69%	15.11%	13.45%	10.37%	9.85%	11.35%		13.65%	14.02%
	Depreciation%Sale	5.05%	4.66%	4.66%	6.04%	5.90%	3.73%	3.84%	4.31%	4.77%	5.15%		4.81%	4.71%
	OperatingIncome%Sale	6.65%	12.73%	13.94%	6.45%	13.59%	22.29%	9.44%	5.40%	6.81%	9.65%		10.70%	9.54%
	Return on Capital Employed	6.18%	10.25%	12.95%	4.75%	13.07%	28.63%	12.22%	6.90%	8.00%	11.51%		11.45%	10.88%
	Retained Earning %	0.00%	83.27%	80.41%	71.78%	62.62%	84.60%	32.43%	0.00%	0.00%	50.83%		46.59%	56.73%
	Return On Equity Share	-1.00%	11.24%	11.02%	5.51%	10.79%	35.34%	6.31%	1.19%	2.52%	9.93%		9.29%	8.12%
	Self Sustained Growth rate	0.00%	9.36%	8.86%	3.96%	6.76%	29.90%	2.05%	0.00%	0.00%	5.05%		6.59%	4.50%
	Interest Coverage Ratio	1.47x	2.88x	2.87x	1.20x	2.80x	9.96x	3.65x	1.65x	2.03x	3.13x		3.16x	2.83x
	Debtor Turnover Ratio	9.69x	9.93x	13.35x	17.73x	16.40x	19.92x	29.47x	36.59x	41.55x	47.21x		24.18x	18.83x
	Creditors Turnover Ratio	2.18x	2.21x	2.50x	2.36x	1.93x	2.64x	2.50x	2.54x	2.44x	2.28x		2.36x	2.40x
	Inventory Turnover Ratio	4.53x	4.35x	4.98x	4.50x	4.70x	5.00x	4.47x	4.66x	4.90x	4.91x		4.70x	4.68x
	Fixed Assets Turnover Ratio	1.22x	1.28x	1.27x	1.04x	1.15x	1.83x	1.66x	1.54x	1.45x	1.29x		1.37x	1.29x
	Capital Turnover Ratio	2.97x	2.02x	2.29x	1.90x	2.11x	2.13x	2.36x	2.49x	2.40x	2.27x		2.29x	2.28x
	Debtors days	38	37	27	21	22	18	12	10	9	8		20	19
	Payable days	168	165	146	155	189	138	146	144	149	160		156	152
	Inventory days	81	84	73	81	78	73	82	78	74	74		78	78
	Cash Conversion Cycle (in days)	-49	-44	-45	-53	-89	-47	-52	-55	-66	-78		-58	-53
	CFO/Sales	9.64%	6.51%	16.07%	14.43%	28.33%	18.19%	8.91%	8.86%	10.59%	15.10%		13.66%	12.51%
	CFO/Total Assets	6.28%	3.84%	10.88%	8.10%	18.17%	15.71%	7.60%	7.54%	8.40%	11.83%		9.83%	8.25%
	CFO/Total Debt	13.04%	8.71%	25.13%	17.34%	50.09%	58.74%	25.54%	23.31%	24.41%	37.96%		28.43%	24.77%

TATA STEEL LTD -Sales Forecasting			
Growth	Year	Year	Sales Sales Growth
1		2017A	1,12,299.4
2		2018A	1,23,249.1 9.75%
3		2019A	1,57,669.0 27.93%
4		2020A	1,39,816.7 -11.32%
5		2021A	1,56,477.4 11.92%
6		2022A	2,43,959.2 55.91%
7		2023A	2,43,352.7 -0.25%
8		2024A	2,29,170.8 -5.83%
9		2025A	2,18,542.5 -4.64%
10		2026A	2,32,139.9 6.22%
11		2027E	2,69,041.6 15.90%
12		2028E	2,84,200.5 5.63%
13		2029E	2,99,359.4 5.33%
14		2030E	3,14,518.3 5.06%

TATA STEEL LTD - EBITDA Forecasting				
Growth	Year	Year	Sales	Sales Growth
1		2017A	13,143.6	
2		2018A	21,433.2	63.07%
3		2019A	29,318.2	36.79%
4		2020A	17,463.1	-40.44%
5		2021A	30,504.3	74.68%
6		2022A	63,490.0	108.13%
7		2023A	32,300.2	-49.13%
8		2024A	22,247.9	-31.12%
9		2025A	25,298.5	13.71%
10		2026A	34,352.4	35.79%
11		2027E	37,624.5	9.53%
12		2028E	39,200.8	4.19%
13		2029E	40,777.0	4.02%
14		2030E	42,353.3	3.87%

TATA STEEL LTD - Earning Per Share Forecasting				
Growth	Year	Sales	Sales Growth	
1	2017A	-0.3		
2	2018A	6.1	-1903.95%	
3	2019A	6.7	11.01%	
4	2020A	3.6	-46.60%	
5	2021A	6.7	85.86%	
6	2022A	33.1	394.77%	
7	2023A	5.3	-83.93%	
8	2024A	0.9	-83.51%	
9	2025A	1.8	109.66%	
10	2026A	8.1	341.78%	
11	2027E	8.8	8.67%	
12	2028E	9.1	3.35%	
13	2029E	9.4	3.24%	
14	2030E	9.7	3.14%	



Weighted average cost of capital

Tata Steel Ltd - WACC Calculation

Peer comps

Name of the company	Country	Debt	Equity	Tax rate ¹	Debt/Equity	Debt/Capital	Levered Beta ²	Unleverd Beta ³
JSW Steel	India	₹ 99,310.0	₹ 3,24,022.7	30%	30.65%	23.46%	0.63	0.52
Steel Authority of India	India	₹ 31,927.7	₹ 81,288.7	30%	39.28%	28.20%	1.05	0.82
Jindal Steel & Power	India	₹ 22,609.6	₹ 1,18,840.3	30%	19.03%	15.98%	0.67	0.59
Jindal Stainless	India	₹ 7,460.3	₹ 60,829.8	30%	12.26%	10.92%	0.55	0.51
Average				30.00%	25.30%	19.64%	0.73	0.61
Median				30.00%	24.84%	19.72%	0.65	0.55

Cost of debt	
Pre tax cost of debt	8.50%
Tax rate	30%
Post tax Cost of debt	5.95%

Capital Structure			
		Current	Target
Total Debt	₹ 92,381.7	28.20%	19.64%
Total Equity	₹ 2,35,189.5	71.80%	80.36%
Total Capital	₹ 3,27,571.2	100.00%	100.00%

Targeted Debt/equity	39.28%	24.44%
----------------------	--------	--------

Cost of Equity	
Risk free rate	6.89%
Equity risk Premium	8.37%
Levered beta ⁴	0.65
Cost of Equity	12.33%

Levered beta	
Comps median unlevered be	0.55
Target debt/equity	24.44%
Tax rate	30%
Levered beta	0.65

Weighted Average Cost of capital		
	Total Cost	Total weight
Debt	5.95%	19.64%
Equity	12.33%	80.36%
Total	18.28%	100.00%
WACC	11.08%	

Name of the company	Country	Debt	Equity	Tax rate ¹	Debt/Equity	Debt/Capital
Tata Steel	India	92381.7	235189.5	30%	39.28%	28.20%



Common Size Income Statement -TATA STEEL LTD

Particular	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Sales	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Raw Material Cost	39.04%	37.43%	38.61%	41.51%	35.21%	37.33%	47.91%	42.55%	43.51%	39.90%
Change in Inventory	4.04%	-0.08%	0.06%	0.40%	-0.97%	3.11%	1.38%	-1.92%	0.04%	-0.43%
Power and Fuel	4.65%	3.60%	3.37%	3.80%	3.65%	3.29%	3.91%	7.25%	6.01%	6.17%
Other Mfr. Exp	14.07%	13.76%	13.15%	15.19%	13.26%	11.82%	13.62%	17.51%	17.71%	16.15%
Employee Cost	15.36%	13.86%	11.90%	13.26%	12.72%	9.54%	9.21%	10.69%	11.39%	11.20%
Selling and admin	12.26%	11.70%	10.73%	11.16%	11.19%	11.25%	10.49%	6.31%	5.55%	5.75%
Other Expenses	6.95%	2.18%	3.71%	3.00%	3.50%	3.86%	2.96%	4.06%	4.30%	5.60%
Other Income	-3.37%	8.84%	0.97%	-2.06%	0.11%	0.53%	0.64%	-2.62%	0.40%	0.32%
Depreciation	5.05%	4.66%	4.66%	6.04%	5.90%	3.73%	3.84%	4.31%	4.77%	5.15%
Interest	4.52%	4.43%	4.86%	5.39%	4.86%	2.24%	2.59%	3.28%	3.36%	3.09%
Profit before tax	-1.24%	17.15%	10.05%	-1.00%	8.85%	20.59%	7.49%	-0.50%	3.85%	6.88%
Tax	2.47%	2.75%	4.26%	-1.84%	3.61%	3.47%	4.17%	1.64%	2.40%	2.19%
Net profit	-3.78%	10.90%	6.48%	1.11%	4.79%	16.46%	3.60%	-1.94%	1.57%	4.65%
Dividend Amount	0.86%	0.93%	0.94%	0.82%	1.91%	2.55%	1.81%	1.96%	2.05%	2.15%

Common Size Balance Sheet Statement -TATA STEEL LTD

Particular	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Total Liabilities	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Equity Share Capital	0.56%	0.55%	0.49%	0.46%	0.49%	0.43%	0.43%	0.46%	0.45%	0.42%
Reserves	21.37%	28.61%	29.12%	29.07%	29.95%	40.09%	35.69%	33.71%	32.64%	34.04%
Borrowings	48.14%	44.15%	43.31%	46.69%	36.28%	26.75%	29.75%	32.33%	34.42%	31.16%
Other Liabilities	29.93%	26.69%	27.08%	23.78%	33.28%	32.72%	34.14%	33.49%	32.49%	34.39%
Total Assets	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Net Block	53.35%	46.04%	53.46%	54.00%	55.67%	47.19%	51.37%	55.26%	54.79%	60.67%
Capital Work in Progress	9.15%	7.96%	8.01%	7.83%	7.79%	7.81%	10.94%	12.76%	15.11%	9.61%
Investments	7.22%	8.58%	2.47%	2.52%	4.38%	4.65%	2.95%	2.32%	2.25%	2.39%
Other Assets	6.31%	14.09%	15.96%	16.78%	12.24%	13.09%	8.10%	5.86%	5.53%	6.34%
Receivables	6.72%	5.95%	5.07%	3.16%	3.91%	4.34%	2.89%	2.33%	1.91%	1.66%
Inventory	14.38%	13.57%	13.60%	12.47%	13.64%	17.29%	19.07%	18.25%	16.19%	15.93%
Cash & Bank	2.85%	3.80%	1.44%	3.23%	2.37%	5.63%	4.68%	3.22%	4.23%	3.39%

Particular	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Equity Capital	971.0	970.0	970.0	1,145.0	1,145.0	1,145.0	1,198.0	1,221.0	1,221.0	1,247.0	1,247.0	1,247.0
Reserves	30,378.0	42,762.0	36,849.0	59,726.0	67,780.0	72,431.0	73,041.0	1,13,222.0	1,01,861.0	90,788.0	89,922.0	1,00,920.0
Total Borrowings												
Long term Borrowings	65,675.0	64,873.0	64,022.0	72,789.0	80,343.0	94,105.0	65,698.0	44,764.0	51,446.0	51,577.0	68,552.0	63,754.0
Short term Borrowings	9,599.0	15,722.0	18,328.0	15,885.0	10,802.0	19,184.0	14,969.0	24,065.0	26,571.0	29,997.0	20,412.0	21,203.0
Lease Liabilities	-	-	-	-	-	-	7,834.0	6,733.0	6,875.0	5,508.0	5,837.0	7,425.0
Preference Capital	-	-	-	20.0	13.0	-	-	-	-	-	-	-
Other Borrowings	5,428.0	1,392.0	664.0	3,453.0	9,658.0	3,039.0	-	-	-	-	-	-
Other Liabilities												
Non controlling int	1,704.0	781.0	1,602.0	937.0	2,364.0	2,587.0	3,270.0	2,655.0	2,093.0	397.0	183.0	1,613.0
Trade Payables	19,190.0	18,557.0	18,574.0	20,414.0	21,717.0	21,381.0	25,967.0	36,765.0	37,833.0	30,228.0	29,314.0	34,810.0
Advance from Customers	367.0	456.0	566.0	616.0	819.0	869.0	2,399.0	3,253.0	3,394.0	2,771.0	1,655.0	2,222.0
Other liability items	25,798	31,371	30,871	33,738	38,131	34,408	49,533	49,744	54,101	56,799	58,335	63,320
Total Liabilities	1,59,109	1,76,884	1,72,447	2,08,722	2,32,773	2,49,149	2,43,909	2,82,422	2,85,396	2,69,312	2,75,459	2,96,515
Fixed Assets												
Land	2,433.0	16,499.0	16,545.0	16,955.0	17,126.0	19,853.0	20,656.0	20,770.0	21,701.0	22,067.0	22,299.0	23,659.0
Building	14,186.0	11,058.0	11,141.0	12,148.0	21,753.0	25,883.0	26,828.0	27,588.0	28,904.0	30,173.0	31,819.0	36,997.0
Plant Machinery	1,24,249.0	73,865.0	93,462.0	1,04,889.0	1,27,435.0	1,41,914.0	1,55,596.0	1,52,754.0	1,63,134.0	1,75,111.0	1,86,115.0	2,24,912.0
Equipments	403.0	414.0	543.0	668.0	739.0	796.0	-	-	-	-	-	-
Furniture n fittings	916.0	-	-	-	-	19.0	1,047.0	991.0	1,111.0	1,238.0	1,298.0	1,429.0
Railway sidings	1,239.0	757.0	1,350.0	1,397.0	1,549.0	1,676.0	1,671.0	1,780.0	1,841.0	1,872.0	1,890.0	2,384.0
Vehicles	376.0	335.0	352.0	343.0	398.0	615.0	681.0	686.0	749.0	794.0	830.0	978.0
Intangible Assets	13,500.0	6,026.0	4,990.0	5,810.0	4,293.0	5,868.0	6,289.0	6,229.0	7,572.0	7,772.0	7,896.0	10,230.0
Other fixed assets	7,315.0	5,154.0	2,919.0	3,233.0	3,742.0	4,424.0	5,171.0	10,953.0	20,384.0	20,546.0	20,881.0	22,389.0
Gross Block	1,64,618.0	1,14,109.0	1,31,302.0	1,45,444.0	1,77,037.0	2,01,047.0	2,17,939.0	2,21,752.0	2,45,395.0	2,59,572.0	2,73,028.0	3,22,978.0
Accumulated Depreciation	96,518.0	41,909.0	39,295.0	49,339.0	52,595.0	66,496.0	82,164.0	88,464.0	98,773.0	1,10,758.0	1,22,114.0	1,43,070.0
Net Block	68,100	72,200	92,007	96,105	1,24,442	1,34,551	1,35,775	1,33,288	1,46,622	1,48,814	1,50,914	1,79,908
CWIP	28,678.0	35,996.0	15,784.0	16,614.0	18,641.0	19,497.0	19,007.0	22,046.0	31,213.0	34,356.0	41,622.0	28,497.0
Investments	3,455.0	10,714.0	12,457.0	17,899.0	5,738.0	6,285.0	10,682.0	13,140.0	8,410.0	6,258.0	6,194.0	7,089.0
Other Assets -	58,876.0	57,974.0	52,200.0	78,103.0	83,952.0	88,816.0	78,445.0	1,13,948.0	99,151.0	79,885.0	76,728.0	81,021.0
Inventories	25,150.0	20,013.0	24,804.0	28,331.0	31,656.0	31,069.0	33,276.0	48,824.0	54,415.0	49,158.0	44,590.0	47,249.0
Trade receivables	13,310.0	12,066.0	11,587.0	12,416.0	11,811.0	7,885.0	9,540.0	12,246.0	8,257.0	6,264.0	5,260.0	4,917.0
Receivables over 6m	443.0	-	-	-	-	-	620.0	694.0	1,051.0	608.0	477.0	679.0
Receivables under 6m	13,162.0	12,386.0	11,814.0	12,666.0	12,204.0	8,194.0	9,279.0	11,817.0	7,961.0	5,990.0	5,066.0	4,584.0
Prov for Doubtful	(295.0)	(320.0)	(227.0)	(250.0)	(393.0)	(309.0)	(360.0)	(265.0)	(755.0)	(335.0)	(283.0)	(347.0)
Cash Equivalents	8,750.0	6,186.0	4,921.0	7,938.0	3,341.0	8,055.0	5,782.0	15,899.0	13,357.0	8,678.0	11,647.0	10,058.0
Loans n Advances	(182.0)	107.0	98.0	219.0	(56.0)	195.0	(193.0)	(158.0)	(90.0)	(56.0)	49.0	1,167.0
Other asset items	11,848.0	19,602.0	10,790.0	29,200.0	37,200.0	41,613.0	30,039.0	37,137.0	23,211.0	15,842.0	15,182.0	17,630.0
Total Assets	1,59,109	1,76,884	1,72,447	2,08,722	2,32,773	2,49,149	2,43,909	2,82,422	2,85,396	2,69,312	2,75,459	2,96,515

Calculation ROIC	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Current Assets					
Inventories	48,824	54,415	49,158	44,590	47,249
Trade receivables	12,246	8,257	6,264	5,260	4,917
Receivables over 6m	694	1,051	608	477	679
Receivables under 6m	11,817	7,961	5,990	5,066	4,584
Loans n Advances	(158)	(90)	(56)	49	1,167
Other asset items	37,137	23,211	15,842	15,182	17,630
Total Current Assets	1,10,560	94,805	77,806	70,624	76,226
Current Liabilities					
Trade Payables	36,765	37,833	30,228	29,314	34,810
Advance from Customers	3,253	3,394	2,771	1,655	2,222
Other liability items	49,744	54,101	56,799	58,335	63,320
Total Current Liabilities	89,762	95,328	89,798	89,304	1,00,352
Net Working Capital	20,798	(523)	(11,992)	(18,680)	(24,126)
Non-Current Assets					
Land	20,770	21,701	22,067	22,299	23,659
Building	27,588	28,904	30,173	31,819	36,997
Plant Machinery	1,52,754	1,63,134	1,75,111	1,86,115	2,24,912
Equipments	-	-	-	-	-
Furniture n fittings	991	1,111	1,238	1,298	1,429
Railway sidings	1,780	1,841	1,872	1,890	2,384
Vehicles	686	749	794	830	978
Intangible Assets	6,229	7,572	7,772	7,896	10,230
Other fixed assets	10,953	20,384	20,546	20,881	22,389
Gross Block	2,21,751	2,45,396	2,59,573	2,73,028	3,22,978
Accumulated Depreciation	(88,464)	(98,773)	(1,10,758)	(1,22,114)	(1,43,070)
Net Non-Current Assets	1,33,287	1,46,623	1,48,815	1,50,914	1,79,908
Invested Capital	1,54,085	1,46,100	1,36,823	1,32,234	1,55,782
EBIT	54,389	22,965	12,366	14,877	22,398
ROIC	35.30%	15.72%	9.04%	11.25%	14.38%

Calculation of Reinvestment Rate	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Net Capex	9,953	13,814	17,732	14,407	13,158
Change In working Capital		(21,321)	(11,469)	(6,688)	(5,446)
EBIT	54,389	22,965	12,366	14,877	22,398
Marginal Tax Rate	25%	25%	25%	25%	25%
EBIT(1-Tax)	40,792	17,224	9,274	11,158	16,798
Reinvestment		-7,507	6,263	7,719	7,712
Reinvestment Rate		-43.59%	67.53%	69.18%	45.91%
				Average	34.76%
				Median	56.72%

Calculation Of Growth	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Reinvestment Rate		-43.59%	67.53%	69.18%	45.91%
ROIC		15.72%	9.04%	11.25%	14.38%
Intrinsic Growth		-6.85%	6.10%	7.78%	6.60%
				Average	3.41%
				Median	6.35%

Calculation of PV of FCFF	2026A	2027F	2028F	2029F	2030F	2031F
EBIT	23,043.80	24,507.54	26,064.25	27,719.84	29,480.60	31,353.19
Tax	25%	25%	25%	25%	25%	25%
EBIT(1-Tax)	17,282.85	18,380.65	19,548.18	20,789.88	22,110.45	23,514.90
Less: Reinvestment Rate	56.72%	56.72%	56.72%	56.72%	56.72%	56.72%
Free Cash Flow to Firm(FCFF)	7,480.06	7,955.19	8,460.50	8,997.91	9,569.45	10,177.30
Mid Year Convention	0	0.5	1.5	2.5	3.5	4.5
Discounting Factor		0.949	0.854	0.769	0.692	0.623
Pv of FCFF		7,548.09	7,226.98	6,919.53	6,625.15	6,343.30

Expected Growth	6.35%
Terminal Growth	6%
WACC	11.08%

Calculation Of Terminal value	
FCFF(n+1)	10,823.76
WACC	11.08%
Terminal Growth Rate	6%
Terminal Value	2,13,172.11

Calculation Of Equity Value Per Share	
PV of FCFF	34,663.06
Present Value of Terminal Value	1,32,865.87
Value of Operating Assets	1,67,528.93
Add: Cash	10,058.00
Less: Debt	84,957.00
Value of Equity	92,629.93
No. of Share	1,248.35
Equity Value Per Share	74.20

Calculation Of Sensitivity Analysis					
	9%	10%	11.08%	12%	13%
4%	216475.142	180395.951	152932.5	135297	120263.968
5%	270593.927	216475.142	178096.3	154625.1	135296.964
6%	360791.903	270593.927	213172.1	180396	154625.101
7%	541187.854	360791.903	265452.6	216475.1	180395.951

